

Investment process — say what we do

Tick each claim from the presentation against the matching action in this letter — we say it, the letter does it.

WHAT WE SAY (in the presentation)	WHAT WE DO (in this letter)
☐ Selective, high-conviction sourcing.	~One new investment a year, from a scored universe of ~20,000 companies; the sourcing funnel is documented.
☐ Three tollgates before any capital.	Each idea is minuted through Tollgate 1 (valuation), 2 (plan + board-seat path) and 3 (IC Go/No-Go), with named decision-makers.
☐ Buy quality at a discount — never broken turnarounds.	Tollgate 1 requires the core alone to justify the price — a 30–40% margin of safety versus a PE bidder.
☐ Agreement before capital.	No sizing to conviction without a secured path to a board seat; if alignment fails, the position is unwound (walk-away ledger).
☐ We create the value from the boardroom.	30+ public board seats; the ownership playbook — refocus, reallocate, bolt-on, exit — executed per holding.
☐ Returns from earnings, not re-rating.	Underwritten to a constant exit multiple; portfolio companies grew EBITA ~14.5% a year during our ownership.
☐ Determined, not forced, sellers.	We exit on a changed thesis, completely and on the facts — never forced by a fund clock or capital calls.

Risk process — do what we say

The same map for risk — each safeguard we describe is a mechanism the letter commits to and the team applies.

WHAT WE SAY (in the presentation)	WHAT WE DO (in this letter)
☐ Permanent loss is engineered out before we invest.	Only durable, market-leading cores; we value the rectifiable core, with zero value for “growth-trap” divisions.
☐ Every idea clears an entry gauntlet.	Approval requires $\geq 12\%$ expected IRR and $\leq 20\%$ probability of a 30% drawdown.
☐ Diversification by hard limits.	Capped exposures — sector $\leq 30\%$, plus economic-cycle, maturity and geography limits — monitored continuously.
☐ Mechanised discipline, not emotion.	Automatic $-10 / -20 / -30\%$ triggers force a re-underwrite, and an exit where the thesis is broken.
☐ The board seat is the kill switch.	Board control freezes poor capital allocation and changes management — risk falls the moment control is secured.
☐ No leverage at the fund.	Any leverage is isolated to single investments, never applied at the fund level.
☐ Independent checks, segregated duties.	Operations, valuation and risk sit apart from investment; custody SEB, administration MUFG, audit KPMG.
☐ Sized so no single mark can dominate.	8–12 concentrated positions within hard limits, on a pre-agreed drawdown tolerance minuted with the Investment Committee.